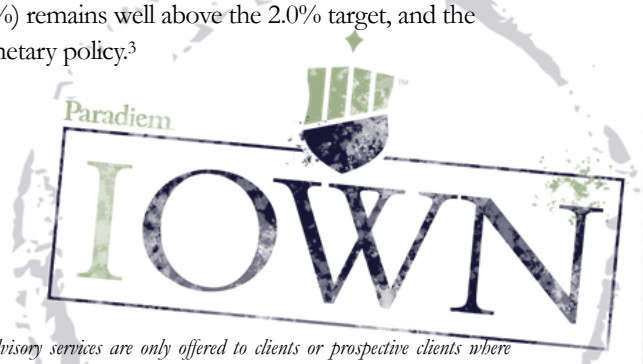
The Rich Report

U.S. Economics News:

- **Staples vs. Discretionary:** Consumer Staples have outperformed Consumer Discretionary by over 16 percentage points year-to-date through April 7, 2026, reflecting weakening consumer confidence amid the Iran War, though underlying consumer health remains solid — U.S. household net worth hit a record $184.1 trillion in Q4 2025 and the share of accounts in collections fell to a near-record-low 4.6%.[3]
- **Q4 GDP Final:** The final Q4 2025 GDP reading was revised down to a 0.5% annualized rate, finishing the full year at 2.0% growth, with "core" GDP — which strips out government, inventories, and trade — growing just 1.8%, the slowest quarterly pace in three years, though Real Gross Domestic Income came in stronger at 2.6% annualized.[3]
- **Corporate Profits:** Economy-wide corporate profits grew 6.0% in Q4 2025 versus Q3 and are up 9.6% year-over-year, with gains broad-based across domestic financial firms (+8.8%), non-financial industries (+2.5%), and rest-of-world profits (+20.2%); the Federal Reserve also turned profitable for the first time since 2022 after years of losses from paying interest on bank reserves.[3]
- **PCE Inflation:** The Fed's preferred inflation gauge, the PCE deflator, rose 0.4% in February and is up 2.8% year-over-year, while core PCE also rose 0.4% and sits at 3.0% annually — both above the Fed's 2.0% target and essentially unchanged from year-ago readings in February 2025, signaling persistent underlying inflation pressure.[3]
- **Market Breadth:** Despite the S&P 500's -4.3% total return in Q1 2026, market breadth improved significantly — 57.8% of index members outperformed the benchmark, the highest share since 2009, contrasting sharply with the narrow 27-30% readings of 2023-2025; an equal-weighted version of the index would have returned +0.7% for the quarter.[3]
- **March CPI Surge:** The Consumer Price Index jumped 0.9% in March — the fastest monthly pace since 2022 — pushing the year-over-year rate to a two-year high of 3.3%, almost entirely driven by a 21.2% spike in gasoline prices tied to Iran War supply disruptions; gasoline alone accounted for roughly three-quarters of the monthly increase.[3]
- **Core vs. Headline:** Core CPI, excluding food and energy, rose a more modest 0.2% in March and is up 2.6% year-over-year, still above the Fed's 2.0% target, with housing rents remaining the primary driver; real inflation-adjusted hourly earnings fell 0.6% in March and have grown only 0.3% over the past year, meaning workers are losing purchasing power.[3]
- **Fed Rate Outlook:** Rate cuts remain unlikely in the near term despite market hopes for incoming Fed Chair nominee Kevin Warsh to ease policy quickly — Warsh's Senate confirmation hearing has been delayed, inflation across all measures (headline CPI 3.3%, core 2.6%, SuperCore 3.1%) remains well above the 2.0% target, and the Iran War adds further uncertainty to the path of oil prices and monetary policy.[3]



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Digital Assets News:

- **Weekly Gain:** BTC surged 7.9% over the week — its strongest weekly performance since the conflict began — decisively breaking above its 50-day moving average for the first time in the war's duration. The move carries technical significance, as the 50-day MA is widely watched by traders as a trend indicator; a sustained close above it could signal a broader shift in market momentum.[5]
- **Clarity Act Returns:** The U.S. Senate reconvenes April 13 with the Clarity Act — landmark digital asset legislation defining jurisdictional boundaries between the SEC and CFTC — positioned prominently on its agenda. The Senate Banking Committee is targeting a formal markup session for late April, a critical procedural step that would advance the bill toward a full floor vote and signal growing congressional momentum for comprehensive crypto regulation.[5]
- **Quantum-Resistant Blockchain:** Naoris Protocol launched its mainnet featuring NIST-approved post-quantum cryptographic algorithms — specifically designed to withstand attacks from future quantum computers capable of breaking today's encryption standards. Having stress-tested the network through over 106 million transactions, the protocol positions itself as critical infrastructure for a future where classical cryptography becomes obsolete across finance, identity, and data security.[5]

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Geopolitics News:

- **China:** Beijing quietly pressed Iran to accept the US-Iran ceasefire, leveraging its role as Iran's primary oil buyer and diplomatic patron. China also continued enabling large-scale sanctions evasion, routing Iranian oil payments through smaller banks and front companies, generating tens of billions annually for Tehran and helping fund its war effort.[1]
- **Hungary:** Peter Magyar's centre-right Tisza party defeated Viktor Orban's Fidesz in a landslide, winning 53.6% of the vote and 138 of 199 parliamentary seats, ending Orban's 16-year rule. Orban gave a brief concession speech and went quiet on social media. The Kremlin said it hoped for "pragmatic ties" with the new leadership.[1]
- **Iran:** Iran attacked Saudi Arabia's Jubail petrochemical complex in retaliation for strikes on its Asaluyeh plants. The US struck Kharg Island and IRGC leadership bunkers with bunker-buster bombs. Iran and the US subsequently agreed to a two-week ceasefire brokered by Pakistan, but the truce remained fragile as Iran continued restricting Strait of Hormuz traffic and disagreements over Lebanon persisted. Peace talks in Islamabad collapsed over nuclear and strait disputes.[1]
- **Israel:** Israel continued large-scale strikes on Lebanon even after the US-Iran ceasefire, calling it the deadliest day in Lebanon since the war began. Domestically, Netanyahu's corruption trial resumed after the state of emergency was lifted. Israeli public opinion grew alarmed that the ceasefire left Iran's nuclear program and ballistic missile capability intact.[1]
- **Japan:** Prime Minister Takaichi announced Japan would release an additional 20 days of oil reserves from May, on top of an existing 50-day release plan begun in March, as the Strait of Hormuz blockade continues. Japan relies on the Middle East for roughly 95% of its oil and had approximately 228 days of reserves remaining as of early April.[1]
- **United States:** The US carried out strikes on Iran's Kharg Island and IRGC bunkers before agreeing to a two-week ceasefire brokered by Pakistan. Weekend peace talks in Islamabad collapsed over Iran's refusal to halt uranium enrichment and disputes over the Strait of Hormuz. The US then announced a naval blockade of Iranian ports. Consumer prices surged 0.9% in March, the largest monthly jump since 2022, driven by oil prices and tariff pass-through. The Trump administration is also exploring punishing NATO allies deemed insufficiently supportive during the Iran war by repositioning US troops.[1]
- **United States/Agriculture:** Midwest soybean farmers face compounding financial stress from elevated fuel and fertilizer costs driven by the Iran war, ongoing tariffs, low commodity prices, and supply chain disruption through the Strait of Hormuz. Industry leaders warn of another year of negative returns as input costs continue rising with no clear resolution to the strait blockade.[1]

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The Good News:

- **AI Job Growth:** Despite widespread fears of automation-driven unemployment, AI created 640,000 new U.S. jobs between 2023 and 2025, per LinkedIn data. Roles span high-level AI strategy positions to hourly work, spreading across finance, healthcare, and manufacturing — not just tech firms. This growth doesn't even count construction jobs tied to the massive data center buildout AI infrastructure requires.[2]
- **Electric Shipping:** CATL, controlling 37% of the global EV battery market, is now electrifying ocean vessels, having already deployed batteries on roughly 900 ships. While currently suited to nearshore and river routes, the push signals serious momentum toward decarbonizing shipping — one of the world's most polluting industries, which relies heavily on dirty heavy-fuel oil.[2]
- **Safer Roads:** U.S. traffic deaths dropped to 36,640 in 2025, a 6.7% decline from 2024 and the second-lowest fatality rate in recorded history at 1.10 deaths per 100 million vehicle miles traveled. This continues a long-term safety trend driven by improved vehicle technology, infrastructure investment, and safer road design.[2]

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Dividend Portfolio News:

- **ABT:** Abbott faces significant legal liability after two separate Chicago juries ordered the company to pay a combined ~$123M in damages related to preterm infant formula cases. ABT is scheduled to report earnings this week, adding near-term uncertainty alongside the ongoing litigation overhang.[4]
- **ADP:** Declared a $1.70 quarterly dividend, consistent with its established payout track record as a Dividend Aristocrat.[4]
- **CAT:** Declared a $1.51 quarterly dividend and named Kyle Epley as CFO, replacing Andrew Bonfield who is retiring. The leadership transition at a major industrial company amid tariff uncertainty is worth monitoring.[4]
- **FAST:** Q1 2026 results came in largely in-line — GAAP EPS of $0.30 and revenue of $2.2B both met expectations, though shares slipped premarket. The company also declared a $0.24 dividend. Results suggest stable but unexciting industrial demand conditions.[4]
- **GD:** Won a $450M Marine Corps contract for a reconnaissance vehicle. Also flagged as a defense stock to watch amid a potential $80–100B Pentagon supplemental funding request and NATO allies discussing reduced U.S. dependency — both tailwinds for defense spending.[4]
- **LMT:** Active week — secured a $4.76B U.S. Army contract, a $105M GPS IIIF support deal, and shared a $1.84B Andromeda space surveillance contract. Pentagon budget discussions signal fast-tracking of LMT's AIM-260 missile program. Artemis II splashdown also kept LMT's space work in the spotlight.[4]
- **QCOM:** Announced a partnership with Snap to power its smart eyewear products, reinforcing QCOM's positioning in the emerging AR/wearables space. Shares were volatile alongside broader chip moves tied to U.S.-Iran developments and geopolitical risk-off sentiment.[4]
- **SYK:** Announced acquisition of Amplitude Vascular Systems, continuing its tuck-in M&A strategy in medical devices. Separately, management reaffirmed 2026 guidance despite acknowledging a Q1 earnings impact from a cyberattack — confidence in full-year outlook is a positive signal.[4]
- **VLO:** Faced a challenging week — a blast at its Port Arthur, TX refinery destroyed a diesel hydrotreater control room, prompting a sharp reduction in Mexican crude purchases. Strait of Hormuz tensions added oil supply uncertainty. However, a temporary U.S.-Iran ceasefire pressured energy prices. VLO noted for strong EPS revision grades among energy large-caps.[4]

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Growth Portfolio News

- **FTNT:** Fortinet was swept into broader cybersecurity sector weakness as Zscaler led year-to-date declines and BTIG downgraded Zscaler to Neutral, raising concerns about spending appetite across the sector heading into earnings season.[4]
- **NVDA:** A busy week for Nvidia's ecosystem: CoreWeave signed a $21B AI infrastructure pact with Meta and a multi-year deal with Anthropic; TSMC Q1 revenue surged 45% Y/Y validating AI chip demand; Amazon's chip unit crossed $20B annual revenue run rate; and Lumentum (Nvidia-backed) sees AI orders full through 2028. Michael Burry added to Nvidia puts. CoWoS supply remains secured but Rubin GPU delays emerged per KeyBanc.[4]
- **TOL:** Toll Brothers was upgraded by Evercore alongside PulteGroup and Masco, a positive read on the homebuilding sector. This was partially countered by Seaport cutting ratings on homebuilders broadly, citing slower housing activity — leaving a mixed but net-watched setup ahead of earnings.[4]
- **TSM:** TSMC reported Q1 revenue of NT$1.13T with March sales surging 45% Y/Y on AI demand, beating expectations and setting a strong tone ahead of its formal earnings report. The stock is broadly covered as a top large-cap pick entering earnings season, with bullish views from GF Securities reaffirmed.[4]

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Summary:

In regard to the United States Economy, the first quarter of 2026 told a story of divergence. Energy surged 38.3% as the Iran War closed the Strait of Hormuz and spiked oil prices, while the broader S&P 500 fell 4.4%. Inflation remained stubbornly elevated — headline CPI jumped 0.9% in March with gasoline driving three-quarters of that increase, and both PCE and core CPI sit well above the Fed's 2% target, making near-term rate cuts unlikely.

In the world of digital assets, Bitcoin posted its strongest weekly gain since the conflict began, surging 7.9% and breaking above its 50-day moving average for the first time during the war — a technically significant milestone for market sentiment. On the regulatory front, the Senate reconvenes with the landmark Clarity Act on its agenda, targeting a committee markup in late April that would bring comprehensive crypto legislation meaningfully closer to becoming law.

Recently around the globe, the US-Iran conflict continued reshaping geopolitics. A fragile two-week ceasefire brokered by Pakistan paused direct strikes, but Islamabad peace talks collapsed over nuclear and strait disputes, and the US announced a naval blockade of Iranian ports. Hungary ousted Viktor Orban after 16 years, France and the UK moved to organize a freedom-of-navigation coalition, and Russia provided Iran with targeting intelligence while its own oil infrastructure faced drone attacks.

For the good news, AI added 640,000 US jobs between 2023 and 2025 across finance, healthcare, and manufacturing — not counting construction tied to the data center buildout. CATL, which controls 37% of the global EV battery market, is now electrifying ocean vessels, signaling meaningful progress toward decarbonizing one of the world's dirtiest industries. And US traffic fatalities dropped to their second-lowest rate in recorded history, continuing a long-term safety trend.

In the news for the dividend portfolio, defense holdings had a strong week — Lockheed Martin secured multiple contracts totaling over $6.7 billion and General Dynamics won a $450 million Marine Corps award, both benefiting from Pentagon supplemental budget discussions. Stryker reaffirmed full-year guidance despite a cyberattack impact, while Abbott faces legal headwinds from preterm formula litigation. Fastenal's in-line Q1 results suggested stable but unexciting industrial demand heading into broader earnings season.

And, for the growth portfolio, TSMC's March revenue surged 45% year-over-year, validating robust AI chip demand and setting a strong tone ahead of its formal earnings report. Nvidia's broader ecosystem remained active, with CoreWeave signing a $21 billion infrastructure deal with Meta and Amazon's chip unit crossing $20 billion in annual run rate. Toll Brothers received a notable upgrade from Evercore, though mixed analyst signals on homebuilders warrant continued monitoring.

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